

Banks - China

Weekly Wrap: PBOC 'cut' signal, private investment push, brokers ride tech gain

Industry Overview

Sector performance

H-share bank sector was down 1.9% (vs HSI +3.0%). CMB (+1.5%) outperformed, while CEB (-4.7%) underperformed. Sector P/B: 0.49x, P/E: 5.3x, dividend yield: 5.9%. **A-share bank sector** decreased 1.8% (vs CSI300 -0.5%), with BOCD (+2.4%) leading and ABC (-4.7%) lagging. Sector P/B: 0.60x, P/E: 6.5x, dividend yield: 4.8%. Southbound investors net bought CQRB, net sold CMB most among China banks.

Weekly Market Review

Macro: Jan-May industrial profits rose 18.8% YoY, led by electronics profits up 103.9% YoY and contributing 43.1% of overall growth. Activity indicators continued to stabilize, with Jun manufacturing PMI improving to 50.3 from 50.0, supported by stronger output (51.4), new orders (51.2) and new export orders (50.1), while high-tech manufacturing remained robust at 53.5. Non-manufacturing and composite PMI rose to 50.2 and 50.6, respectively, and the Caixin China New Economy Index increased to 34.1 in June from 32.4. Policy support remained in place through the third batch of RMB62.5bn trade-in funding and NDRC efforts to promote private investment, with six emerging pillar industries expected to exceed RMB10tn by 2030. Meanwhile, fiscal leverage continued to rise, with outstanding local-government special bonds surpassing RMB40tn.

Monetary: the PBOC sought feedback on draft rules for negotiable certificates of deposit, while its first RMB300bn overnight reverse repo operation was reportedly priced at 1.25%, below expectations and seen as a de facto rate cut. **Stock market:** Electronics overtook banking as the largest A-share sector by market capitalization in 1H26. IPO normalization continued, with 68 A-share listings YTD and 337 companies in the review pipeline. USD1.32bn of new insurance QDII quotas granted to 17 insurers, and over HKD10bn of China Life H-shares accumulated by Ping An-affiliated entities YTD. Offshore allocation to China assets also improved, supported by Korean buying of China tech ETFs. **Financials:** Brokers rallied on tech co-investment gains, while mutual funds accelerated preparations for active ETFs. Regulators intensified oversight, with the CSRC imposing a top-tier penalty on a bond private fund, Bao Jiaoyan receiving a five-year market and trading ban, tighter scrutiny of broker branch expansion, and higher penalties for illegal audit reports under the revised CPA Law from 2027. In banking, Moody's upgraded its outlook on China's banking system to stable, and bank AIC investment returns became a key focus at big-six bank AGMs. Credit-risk cleanup continued, with regulators taking over Zhongbang Bank due to credit risks, tighter controls on loan-facilitation businesses, consumer-finance NPL transfers up more than 70% YoY, 103 village and township banks approved for dissolution in 1H26, and several banks closing hundreds of inclusive-finance service stations since June. **Property:** Top developers' land-purchase value YoY decline narrowed for the fourth straight month. Twenty key developers saw sales mix shift, with first-tier cities' contribution surpassing second-tier cities for the first time. **Company news:** CSRB said Changshu Investment Holding Group raised its stake by 0.4ppt to 4.38%. PAB reshuffled head-office and branch management. BOCD plans to introduce an interim dividend in 2026.

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AIC = Asset Investment Company
AGM = Annual General Meeting
CPA = Certified Public Accountant
CSRC = China Securities Regulatory Commission
ETF = Exchange-Traded Fund
NDRC = National Development and Reform Commission
NPL = Non-Performing Loan
PBOC = People's Bank of China
PMI = Purchasing Managers' Index
QDII = Qualified Domestic Institutional Investor

See additional abbreviations at the end of the report

Performance and valuation

Exhibit 1: China/HK banks: price performance and 12-month forward valuation

CMB/BOCD/StanChart outperformed, while CEB/ABC-A/BOCHK underperformed among H-share China banks/A-share China banks/HK banks, respectively

		Price performance								12mth forward valuation		
H-Share CN Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	1288 HK	298.5	5.30	-0.6%	-9.2%	-4.3%	-6.8%	+0.8%	-6.0%	0.51x	5.4x	5.6%
BOC	3988 HK	246.9	4.81	-2.3%	-6.2%	-2.3%	+9.1%	+10.1%	+10.8%	0.45x	5.4x	5.8%
BoComm	3328 HK	80.7	6.61	-2.3%	-8.3%	-5.5%	+3.8%	-4.8%	+5.5%	0.43x	5.3x	6.0%
CCB	939 HK	268.1	7.78	-3.0%	-6.5%	-5.2%	+2.7%	+0.8%	+4.2%	0.46x	5.0x	6.1%
ICBC	1398 HK	351.0	6.43	-2.9%	-4.3%	-5.0%	+4.3%	+11.3%	+5.1%	0.48x	5.2x	5.9%
PSBC	1658 HK	84.5	4.54	-2.5%	-7.7%	-5.7%	-11.4%	-13.5%	-10.3%	0.44x	5.4x	5.9%
CEB	6818 HK	25.1	2.90	-4.7%	-6.8%	-1.2%	-15.7%	-20.5%	-15.3%	0.26x	4.0x	7.4%
CMB	3968 HK	137.9	44.20	+1.5%	-5.2%	-8.7%	-13.3%	-11.6%	-12.1%	0.77x	6.3x	5.1%
CNCB	998 HK	54.7	6.70	-1.5%	-9.2%	-13.1%	-2.3%	-8.1%	-0.8%	0.40x	4.5x	6.9%
MSB	1988 HK	20.6	3.21	+0.0%	-5.0%	-10.7%	-17.7%	-28.4%	-16.8%	0.20x	4.3x	6.9%
CQRB	3618 HK	10.2	5.93	-0.5%	-5.5%	-14.1%	+1.2%	-5.9%	+2.3%	0.39x	4.2x	7.1%
Weighted average				-1.9%	-6.6%	-5.2%	-0.6%	+1.4%	+0.6%	0.49x	5.3x	5.9%
A-share CN Banks	BBG ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	601288 CH	298.5	5.90	-4.7%	-7.2%	-12.1%	-21.7%	+4.8%	-21.7%	0.65x	7.0x	4.3%
BOC	601988 CH	246.9	5.56	-3.5%	-6.6%	-4.5%	-3.0%	+0.9%	-3.0%	0.60x	7.2x	4.3%
BoComm	601328 CH	80.7	6.51	+0.0%	-4.0%	-6.9%	-10.2%	-17.6%	-10.2%	0.49x	6.0x	5.3%
CCB	601939 CH	268.1	9.49	-3.0%	-5.7%	+1.0%	+2.3%	+0.1%	+2.3%	0.64x	7.0x	4.3%
ICBC	601398 CH	351.0	7.04	-1.5%	-3.3%	-4.0%	-9.2%	-2.0%	-9.2%	0.61x	6.6x	4.7%
PSBC	601658 CH	84.5	4.94	+0.4%	-0.8%	-3.5%	-7.3%	-8.3%	-7.3%	0.55x	6.7x	4.7%
CEB	601818 CH	25.1	2.98	+0.3%	-4.5%	-6.6%	-11.9%	-26.1%	-11.9%	0.31x	4.7x	6.2%
CMB	600036 CH	137.9	36.83	+2.3%	-4.3%	-6.5%	-10.3%	-15.4%	-10.3%	0.74x	6.0x	5.3%
CNCB	601998 CH	54.7	6.99	-2.0%	-3.7%	-13.4%	-6.9%	-12.7%	-6.9%	0.48x	5.4x	5.7%
MSB	600016 CH	20.6	3.28	+1.3%	-5.8%	-10.6%	-12.9%	-29.6%	-12.9%	0.23x	5.0x	5.9%
CIB	601166 CH	53.1	17.01	+1.4%	-5.5%	-6.5%	-14.5%	-25.2%	-14.5%	0.40x	4.7x	6.5%
SPDB	600000 CH	42.7	8.69	-0.8%	-6.1%	-14.1%	-30.1%	-36.9%	-30.1%	0.36x	5.5x	5.2%
PAB	000001 CH	29.4	10.29	+0.6%	-3.3%	-4.4%	-6.8%	-12.1%	-6.8%	0.39x	4.6x	5.8%
BOCD	601838 CH	11.5	18.39	+2.4%	-4.7%	+7.2%	+14.1%	-5.7%	+14.1%	0.75x	5.4x	5.5%
BOHZ	600926 CH	16.0	15.00	+1.0%	-4.8%	-9.6%	-0.2%	-8.0%	-0.2%	0.66x	4.8x	5.2%
BOJS	600919 CH	30.2	11.15	+0.5%	-1.5%	+3.1%	+10.7%	-4.8%	+10.7%	0.66x	5.4x	5.8%
BONB	002142 CH	29.5	30.29	-2.7%	-3.0%	+0.8%	+7.8%	+12.0%	+7.8%	0.77x	5.9x	4.5%
BONJ	601009 CH	19.0	10.43	+1.9%	-4.6%	-4.7%	-7.0%	-8.5%	-7.0%	0.61x	5.2x	5.9%
BOSZ	002966 CH	4.7	7.15	+0.4%	-10.6%	-12.0%	-12.0%	-19.9%	-12.0%	0.54x	5.3x	5.8%
CQRB	601077 CH	10.2	6.33	+0.5%	-4.0%	-8.5%	+3.1%	-8.2%	+3.1%	0.49x	5.3x	5.8%
CSRB	601128 CH	3.2	5.96	+0.7%	-5.5%	-5.3%	-5.3%	-9.9%	-5.3%	0.59x	4.7x	4.6%
SHRB	601825 CH	10.7	7.54	-4.5%	-11.7%	-15.6%	-16.8%	-20.0%	-16.8%	0.52x	5.7x	5.9%
Weighted average				-1.8%	-5.0%	-5.6%	-8.5%	-5.0%	-8.5%	0.60x	6.5x	4.8%
HK Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
BOCHK	2388 HK	58.3	43.22	-2.4%	-6.9%	+3.6%	+11.1%	+32.5%	+13.5%	1.18x	10.5x	5.6%
BEA	23 HK	4.3	12.76	+0.7%	-7.5%	-5.3%	-3.9%	+9.5%	-2.7%	0.31x	6.7x	6.9%
HSBC	5 HK	333.0	152.00	+2.9%	+3.5%	+17.6%	+26.3%	+68.0%	+28.3%	1.73x	11.1x	4.5%
StanChart	2888 HK	61.7	221.00	+4.8%	+1.8%	+35.2%	+17.9%	+75.1%	+19.8%	1.24x	10.9x	2.8%
Weighted average				+2.5%	+1.8%	+18.0%	+23.0%	+63.9%	+25.0%	1.58x	11.0x	4.4%
Major indices	BBG ticker	Price		1W	1M	3M	6M	1Y	YTD			
MSCI China	MXCN Index	70.4		-0.4%	-11.3%	-8.8%	-17.5%	-7.2%	-15.3%			
HSI	HSI Index	23,350		+3.0%	-8.9%	-7.0%	-11.3%	-3.0%	-8.9%			
HK Financials	H-FIN Index	20,022		-0.0%	-5.5%	-4.9%	-8.7%	-0.4%	-6.8%			
Hang Seng TECH	HSTECH Index	4,499		+5.7%	-11.0%	-3.8%	-21.6%	-14.0%	-18.4%			
China Internet ETF	KWEB US	25.0		+5.8%	-11.8%	-11.0%	-29.9%	-21.8%	-26.6%			
SSE50	SSE50 Index	2,931		+0.8%	+0.4%	+3.6%	-3.3%	+7.6%	-3.3%			
CSI300	SHSZ300 Index	4,842		-0.5%	-2.0%	+9.0%	+4.6%	+22.0%	+4.6%			
CSI500	SH000905 Index	8,745		+0.5%	+4.6%	+16.1%	+17.1%	+47.7%	+17.1%			
S&P500	SPX Index	7,483		+1.7%	-1.7%	+13.7%	+9.1%	+20.2%	+9.3%			
NASDAQ	CCMP Index	25,833		+1.9%	-4.7%	+18.1%	+11.2%	+26.7%	+11.1%			
US banks	BKX Index	184.1		-0.3%	+7.3%	+17.6%	+10.2%	+27.9%	+12.1%			
EU banks	SX7P Index	408.1		+2.0%	+8.5%	+19.8%	+13.2%	+49.7%	+14.9%			

Source: Bloomberg; as of July 3, except for US/EU ones which were as of July 2, four trading days for CN/HK this week. BBG = Bloomberg. M = month. W = week. Y = year.

Exhibit 2: China Life/China Life-A/CICC/Guotai Haitong Securities-A/Lufax outperformed, while China Pacific/Ping An-A/Everbright Securities/China Securities-A/Futu underperformed

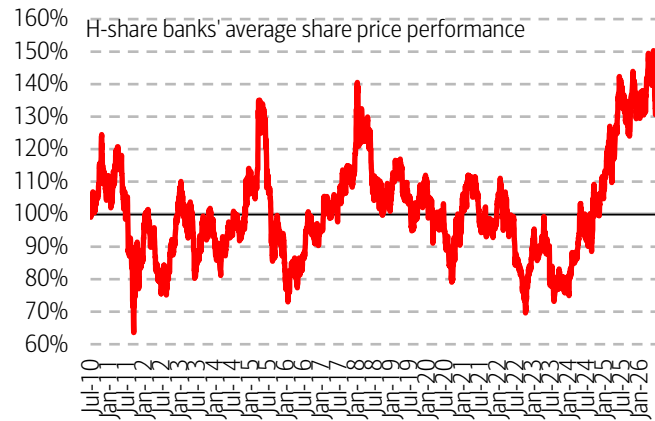
China insurance, brokers, and diversified financials' price performance

				Price performance					
H-Share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Life	2628 HK	145.6	28.40	+8.3%	+4.5%	+16.6%	+1.1%	+59.5%	+6.5%
China Pacific	2601 HK	39.7	27.62	+2.3%	-8.9%	-13.1%	-20.4%	+5.9%	-18.1%
New China Life	1336 HK	25.8	47.74	+2.9%	-1.6%	+4.1%	-15.1%	+16.4%	-12.2%
PICC Group	1339 HK	43.4	4.87	+7.5%	-0.6%	-6.3%	-27.9%	-11.9%	-25.2%
PICC P&C	2328 HK	40.3	14.21	+2.6%	+4.3%	+1.5%	-10.9%	-0.8%	-9.9%
Ping An	2318 HK	126.6	52.05	+3.0%	-9.9%	-10.5%	-19.4%	+9.5%	-17.3%
China Taiping	966 HK	9.1	19.75	+7.3%	-0.4%	-6.5%	+2.3%	+32.5%	+5.7%
Zhong An	6060 HK	2.1	9.58	+5.5%	-10.2%	-25.0%	-42.0%	-44.8%	-40.5%
AIA	1299 HK	96.6	73.25	+3.5%	-10.9%	-13.5%	-10.5%	+3.7%	-6.7%
Weighted average				+4.9%	-3.7%	-1.8%	-11.8%	+19.9%	-8.4%
A-share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Life	601628 CH	145.6	38.66	+10.3%	+17.6%	+7.1%	-15.0%	-4.3%	-15.0%
China Pacific	601601 CH	39.7	29.65	+4.3%	-5.3%	-22.4%	-29.3%	-17.8%	-29.3%
New China Life	601336 CH	25.8	63.52	+6.6%	+10.3%	+6.2%	-8.9%	+11.7%	-8.9%
PICC Group	601319 CH	43.4	7.25	+4.9%	+8.9%	-1.4%	-19.0%	-14.2%	-19.0%
Ping An	601318 CH	126.6	49.09	+3.9%	-5.5%	-11.4%	-25.8%	-7.6%	-25.8%
Weighted average				+6.7%	+6.0%	-3.1%	-20.1%	-6.9%	-20.1%
H-Share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	6881 HK	17.9	7.59	+5.3%	-3.2%	-6.1%	-27.2%	-11.8%	-24.3%
China Merchants Securities	6099 HK	26.8	18.07	+6.6%	+18.8%	+37.1%	+26.4%	+31.1%	+29.6%
China Securities	6066 HK	29.1	12.47	+6.0%	+8.4%	+23.3%	-3.4%	+23.8%	-1.2%
CICC	3908 HK	21.1	22.36	+13.7%	+15.6%	+31.5%	+12.3%	+26.6%	+15.8%
CITIC Securities	6030 HK	61.5	28.06	+5.6%	+8.5%	+17.8%	+0.2%	+20.5%	+4.3%
Everbright Securities	6178 HK	9.3	7.62	+1.7%	+1.6%	+0.4%	-16.8%	-12.9%	-14.3%
GF Securities	1776 HK	25.0	17.60	+7.1%	+6.4%	+21.9%	-2.1%	+32.5%	-0.1%
Guotai Haitong Securities	2611 HK	47.2	15.25	+6.6%	+6.6%	+15.1%	-6.5%	+24.7%	-5.6%
Huatai Securities	6886 HK	26.5	16.95	+2.7%	+2.2%	+13.4%	-13.9%	+11.7%	-9.9%
Orient Securities	3958 HK	11.3	5.68	+4.8%	+3.2%	+7.3%	-15.4%	+7.1%	-13.7%
Weighted average				+6.2%	+7.7%	+18.2%	-2.4%	+19.5%	+0.4%
A-share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	601881 CH	17.9	13.44	+7.8%	+9.2%	+7.6%	-14.5%	-20.0%	-14.5%
China Merchants Securities	600999 CH	26.8	21.82	+6.5%	+26.1%	+40.3%	+31.1%	+28.5%	+31.1%
China Securities	601066 CH	29.1	28.32	-6.4%	+10.8%	+34.2%	+6.4%	+19.7%	+6.4%
CICC	601995 CH	21.1	36.38	+2.3%	+7.2%	+13.1%	+3.9%	+3.1%	+3.9%
CITIC Securities	600030 CH	61.5	28.95	+4.4%	+14.9%	+22.7%	+3.5%	+8.4%	+3.5%
Everbright Securities	601788 CH	9.3	14.94	+3.0%	+4.9%	-1.2%	-14.9%	-16.6%	-14.9%
GF Securities	000776 CH	25.0	23.72	+6.1%	+23.0%	+33.0%	+7.7%	+42.0%	+7.7%
Guotai Haitong Securities	601211 CH	47.2	19.37	+11.3%	+21.0%	+19.9%	-3.9%	+4.7%	-3.9%
Huatai Securities	601688 CH	26.5	21.19	+3.8%	+10.8%	+19.9%	-10.2%	+21.4%	-10.2%
Orient Securities	600958 CH	11.3	9.56	+1.8%	+4.4%	+7.9%	-12.3%	-0.2%	-12.3%
Weighted average				+4.7%	+15.2%	+22.7%	+1.9%	+11.8%	+1.9%
Diversified Financials	Bloomberg ticker	Market cap (USD bn)	Price (HKD; USD)	1W	1M	3M	6M	1Y	YTD
Futu	FUTU US	13.3	95.04	-3.1%	-6.8%	-31.1%	-45.9%	-19.7%	-41.2%
Tiger Brokers	TIGR US	0.9	4.58	-0.7%	-7.8%	-28.2%	-56.1%	-52.1%	-52.1%
Qifu Technology	QFIN US	1.9	15.46	+3.0%	-6.6%	+26.1%	-14.0%	-60.6%	-15.0%
Lufax	LU US	1.2	1.40	+13.8%	-13.6%	-24.7%	-48.0%	-49.3%	-45.3%
FinVolution	FINV US	1.1	4.83	+2.5%	-6.4%	+4.0%	-1.6%	-46.0%	-1.8%
Lexin	LX US	0.3	1.91	-3.0%	-16.6%	-7.6%	-35.8%	-69.3%	-36.4%
HKEX	388 HK	60.6	375.00	+3.5%	-8.4%	-5.3%	-8.4%	-7.5%	-6.5%
East Money	300059 CH	49.1	21.06	+4.9%	+11.4%	+14.5%	-8.7%	-7.5%	-8.7%
Weighted average				+3.4%	-0.7%	-0.2%	-13.2%	-10.7%	-11.8%

Source: Bloomberg; as of July 3, except for ADRs which were as of July 2, four trading days for CN/HK this week

Exhibit 3: H-share banks' average share price at the top end of the long-term range (131% now vs 150% highest)

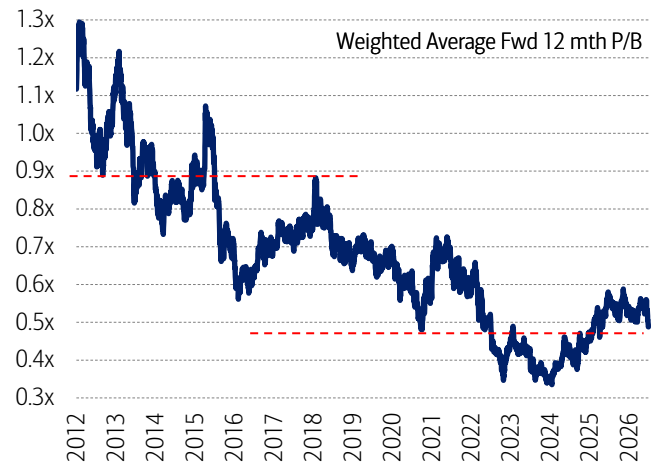
H-share banks' weighted-average stock price performance



Source: Bloomberg, share price here doesn't adjust for dividend; as of July 3; LT=Long Term
BofA GLOBAL RESEARCH

Exhibit 4: P/B declined from 0.51x to 0.49x WoW

H-share banks' forward P/B valuation since 2012



Source: Bloomberg, share price here doesn't adjust for dividend; as of July 3; LT=Long Term
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A-H share premium

Exhibit 5: A-H share premium fluctuated by -5.2ppt to +9.4ppt WoW for our covered banks

A-H share premium data for dual-listed banks

	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	Average
Current	28.7%	33.7%	13.9%	41.1%	26.6%	25.8%	18.8%	-3.6%	20.7%	18.2%	23.4%	22.5%
WoW	-5.2ppt	+2.4ppt	+6.2ppt	+4.6ppt	+2.1ppt	+6.9ppt	+9.4ppt	+3.5ppt	-0.2ppt	+0.0ppt	+1.6ppt	+2.8ppt
YTD	-20.0ppt	-9.4ppt	-11.3ppt	+6.7ppt	-14.5ppt	+11.4ppt	+11.9ppt	+7.8ppt	-2.9ppt	+9.6ppt	+5.9ppt	-0.4ppt
vs 2025 avg	-4.4ppt	-3.4ppt	-4.6ppt	+5.3ppt	-13.0ppt	+9.8ppt	-1.2ppt	-0.1ppt	-3.2ppt	+4.7ppt	+1.8ppt	-0.8ppt

Source: Bloomberg, as of July 3. Share price here doesn't adjust for dividend.

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Stock Connect Holdings

Exhibit 6: This week, southbound investors bought CQRB, sold CMB most

Shanghai/Shenzhen-HK Stock Connect Holdings

Southbound holdings in H-share China banks and HK banks (% of HK shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	50.37%	34.85%	8.20%	15.11%	41.78%	30.44%	18.18%	31.24%	29.55%	29.16%	38.21%	4.04%	0.06%	8.88%	1.46%
WoW	-9bp	+19bp	+6bp	+0bp	-13bp	-17bp	+0bp	-33bp	+0bp	-1bp	+28bp	-1bp	-1bp	-2bp	-1bp
YTD	+345bp	+377bp	+84bp	+104bp	+173bp	-21bp	-42bp	+234bp	-31bp	+110bp	-111bp	+42bp	+4bp	-22bp	-0bp
Southbound holdings in H-share China banks and HK banks (% of total shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	4.43%	9.05%	3.25%	13.89%	10.17%	5.03%	3.90%	5.69%	7.91%	5.54%	8.46%	4.04%	0.07%	8.89%	1.47%
WoW	-1bp	+5bp	+2bp	-0bp	-3bp	-3bp	+0bp	-6bp	-0bp	-0bp	+6bp	-2bp	-1bp	-1bp	-0bp
YTD	+30bp	+98bp	+34bp	+96bp	+42bp	-3bp	-9bp	+43bp	-8bp	+21bp	-24bp	+43bp	+5bp	-21bp	+0bp

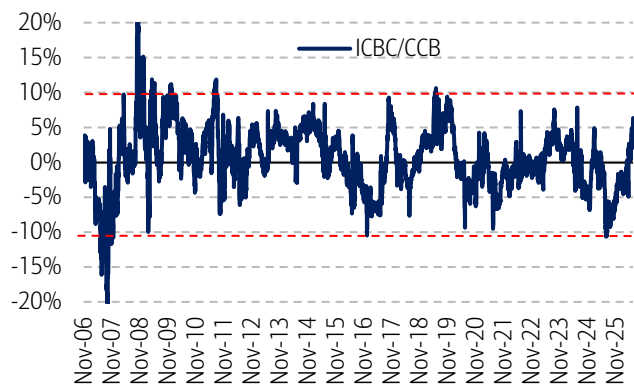
Source: Wind, as of July 2. Starting from 19 August 2024, Stock Connect Northbound Shareholding information will only be available on a quarterly basis.

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Relative valuation

Exhibit 7: ICBC and CCB have been trading closely to each other historically

Relative P/B: ICBC's premium over CCB

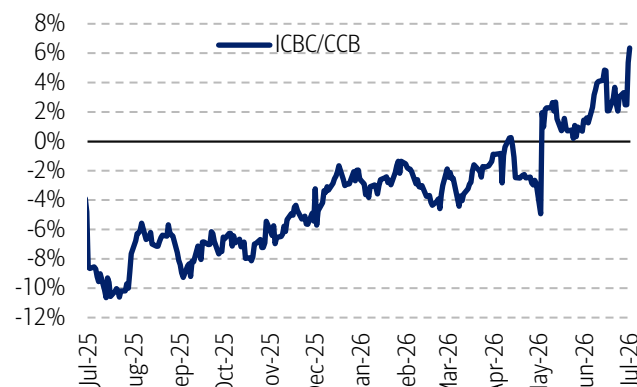


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 8: ICBC's premium to CCB enlarged from 3.0% to 6.4% WoW

Relative P/B: ICBC's premium over CCB (LTM)

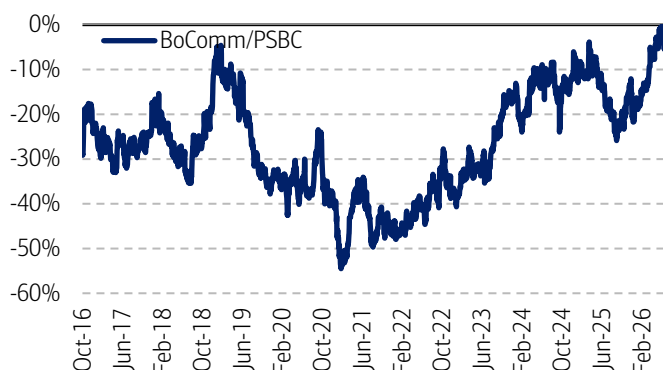


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 9: BoComm traded closely to PSBC with minor discount

Relative P/B: BoComm's discount to PSBC

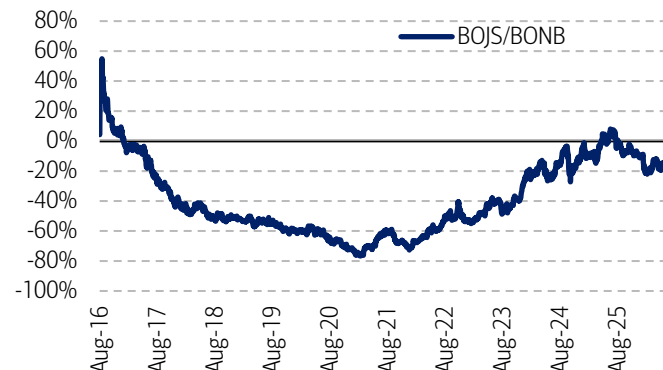


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 10: BOJS's discount to BONB was largely stable WoW

Relative P/B: BOJS's discount to BONB

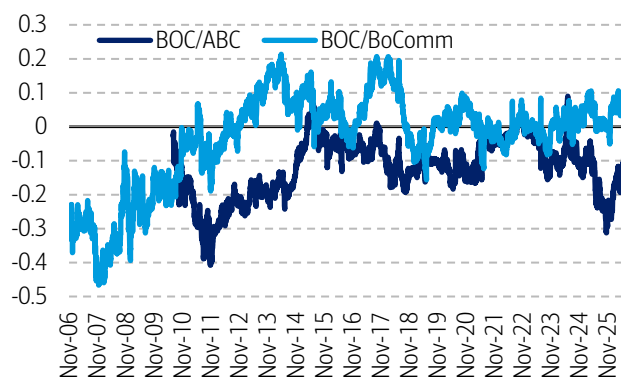


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 11: BOC's P/B was 11% lower than ABC and 6% higher than BoComm

Relative P/B: BOC's premium over ABC & BoComm

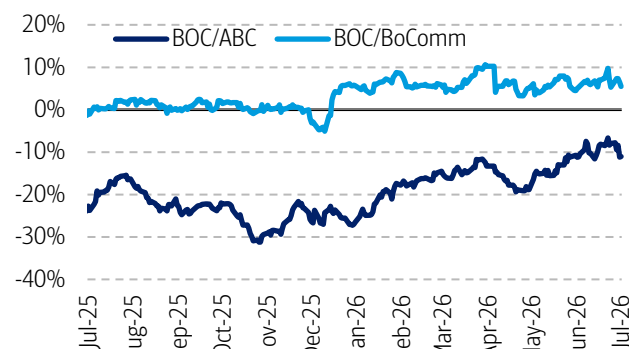


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 12: BOC's discount to ABC enlarged, premium over BoComm enlarged WoW

Relative P/B: BOC's premium over ABC & BoComm (LTM)

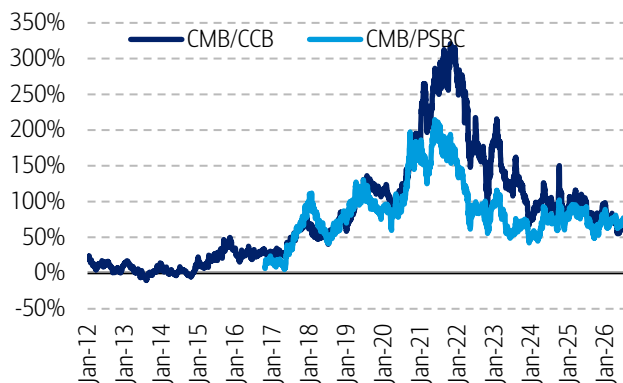


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 13: CMB's P/B was 69% and 75% higher than CCB and PSBC

Relative P/B: CMB's premium over CCB & PSBC

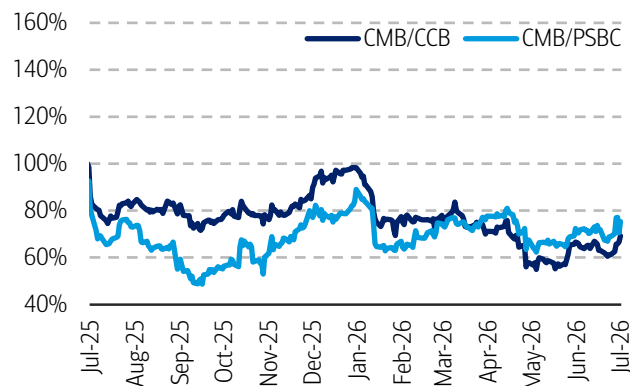


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 14: CMB's P/B premium over CCB and PSBC both enlarged WoW

Relative P/B: CMB's premium over CCB & PSBC (LTM)

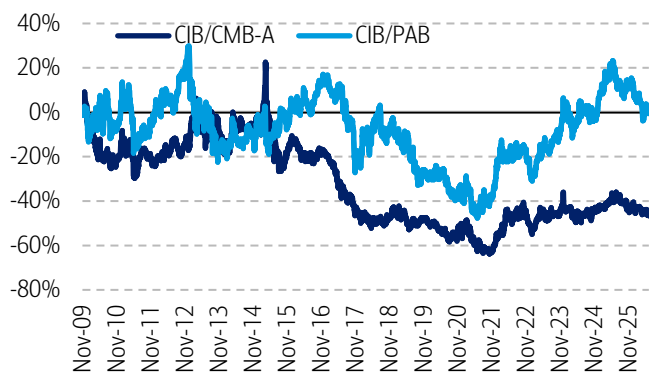


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 15: CIB's P/B was 47% lower than CMB-A's and 1% higher than PAB's

Relative P/B: CIB's discount to CMB-A & PAB

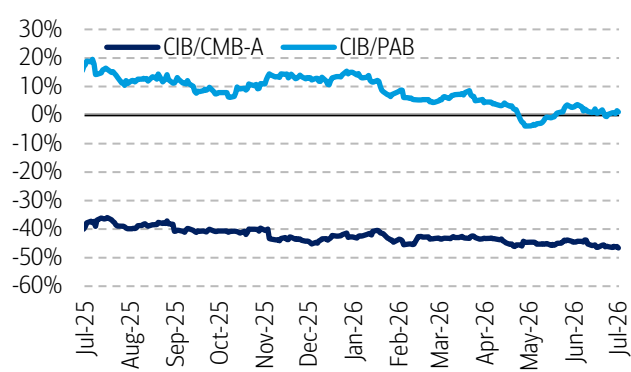


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 16: CIB's discount to CMB-A enlarged, premium over PAB enlarged WoW

Relative P/B: CIB's discount to CMB-A & PAB (LTM)

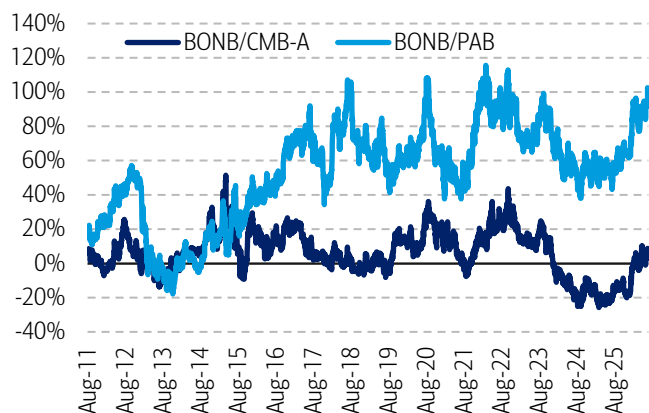


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 17: BONB's P/B was 4% and 96% higher than CMB-A and PAB

Relative P/B: BONB's premium over CMB-A & PAB

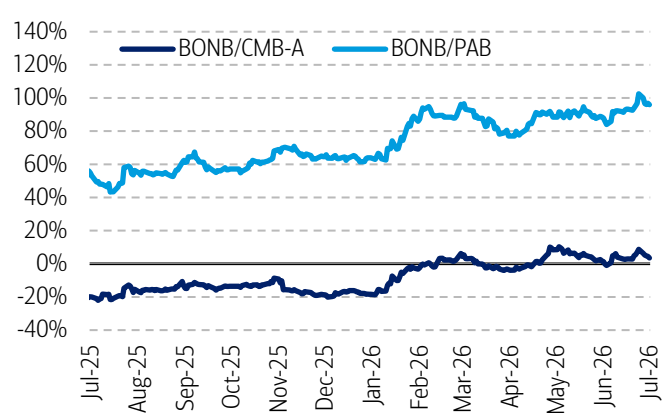


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 18: BONB's premium over CMB-A and PAB both narrowed WoW

Relative P/B: BONB's premium over CMB-A & PAB (LTM)

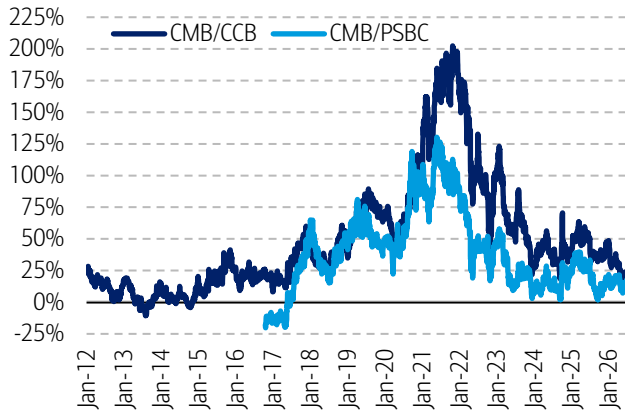


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 19: CMB's P/E was 25% and 17% higher than CCB and PSBC's

Relative P/E: CMB's premium over CCB & PSBC

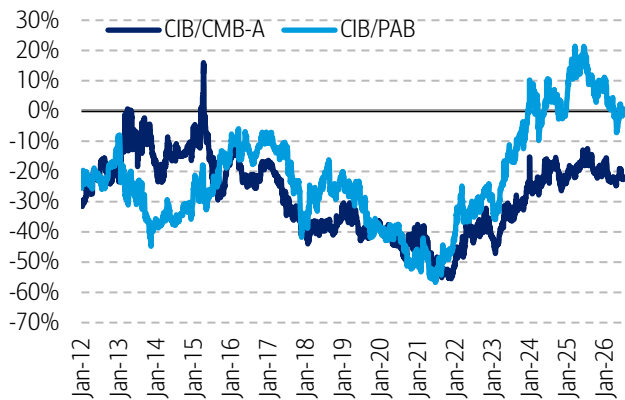


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 21: CIB's P/E was 23% lower than CMB-A's and 0.4% higher than PAB's

Relative P/E: CIB's discount to CMB-A and PAB

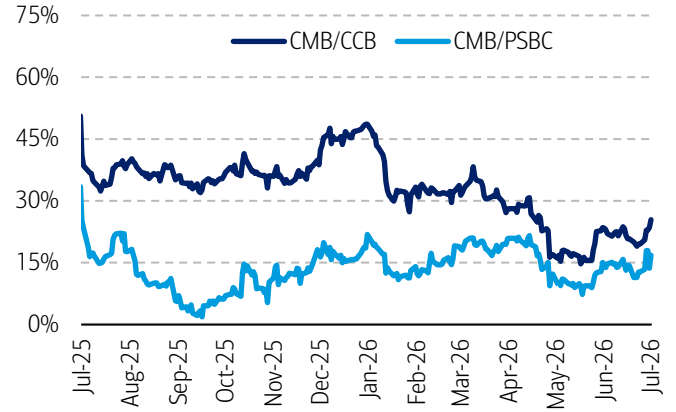


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 20: CMB's P/E premium over CCB and PSBC both enlarged WoW

Relative P/E: CMB's premium over CCB & PSBC (LTM)

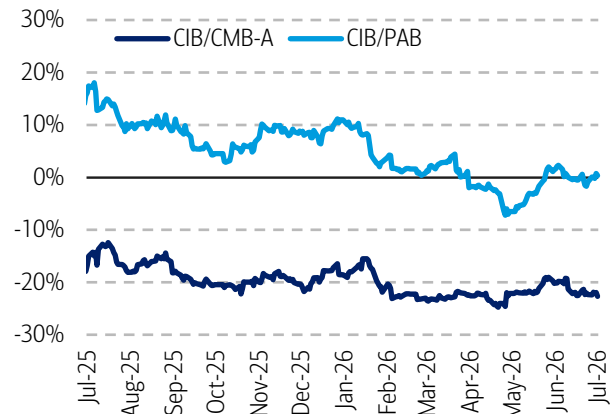


Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

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Exhibit 22: CIB's P/E discount to CMB-A enlarged, premium over PAB enlarged WoW

Relative P/E: CIB's discount to CMB-A and PAB (LTM)



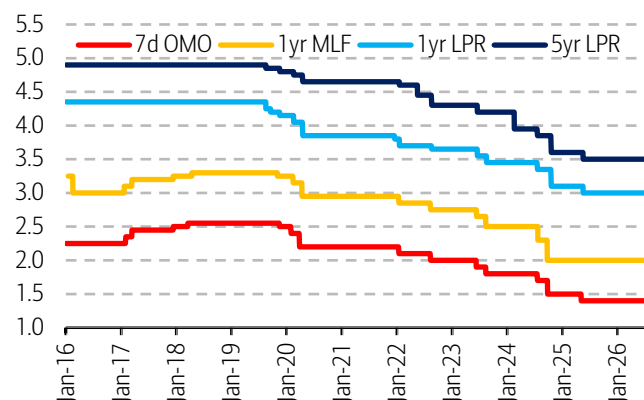
Source: Bloomberg, as of July 3, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Interest rates and NCDs

Exhibit 23: Major policy rate remained unchanged WoW

Major policy rate (%)

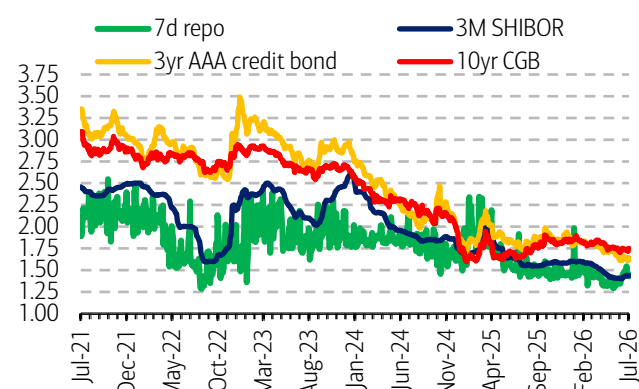


Source: Bloomberg, Wind, as of July 2

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Exhibit 24: 3-year AAA credit bond yield rose 1bp WoW

Major policy rate (%)

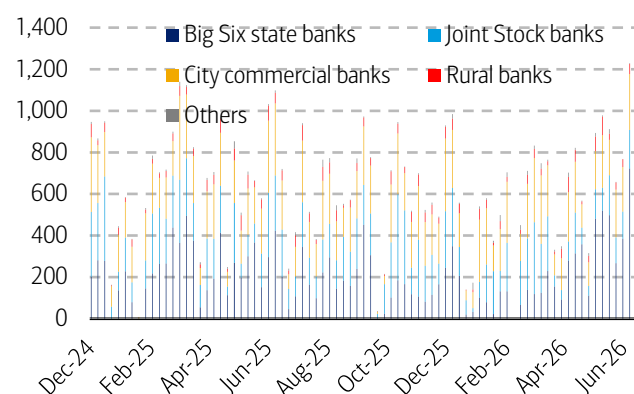


Source: Bloomberg, Wind, as of July 2, *CGB: China Government Bond

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Exhibit 25: Gross issuance was RMB1038bn from June 22 to June 28

Weekly NCD gross issuance by bank type (RMB bn)

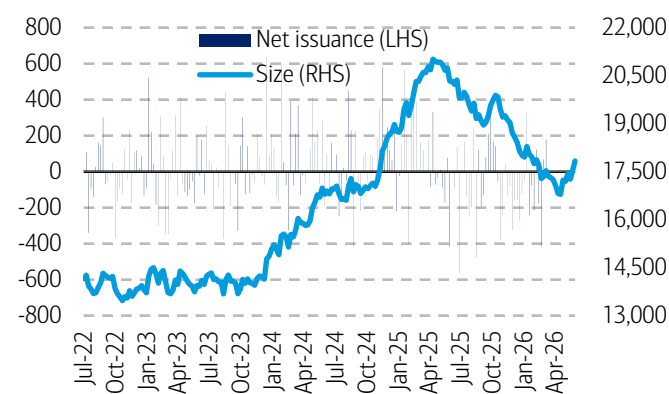


Source: Wind, as of June 28, *NCD: Negotiated Certificate of Deposits

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Exhibit 26: NCD size increased from RMB17.5tn to RMB17.8tn WoW

Weekly NCD net issuance and outstanding size (RMB bn)

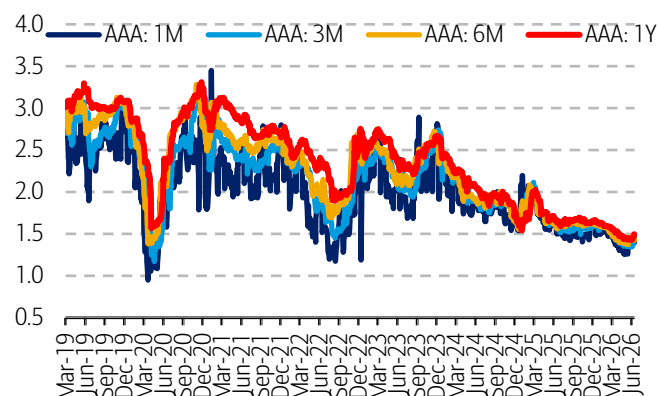


Source: Wind, as of June 28, *NCD: Negotiated Certificate of Deposits

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Exhibit 27: AAA rated NCD yields declined by 1-4bps for 1M-1Y tenors WoW

Yield to maturities of AAA rated NCD (%)

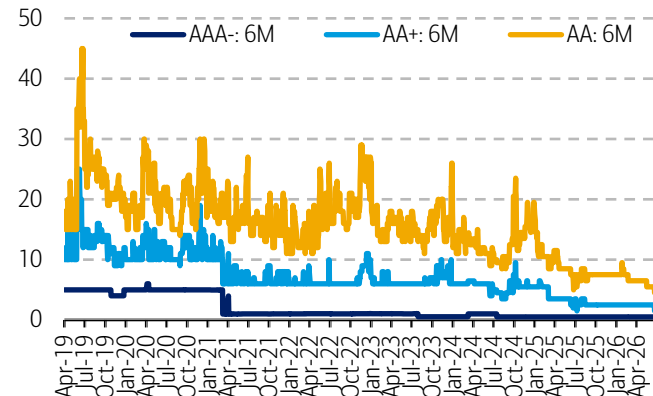


Source: CEIC, as of July 2, *NCD: Negotiated Certificate of Deposits

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Exhibit 28: Credit spread of AA+/AA rated NCD over AAA rated remained stable WoW

Credit spread over AAA rated NCD (bp)



Source: CEIC, as of July 2, *NCD: Negotiated Certificate of Deposits

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Convertible bond tracker

Exhibit 29: CSRB is close to mandatory CB conversion price

Share price vs. convertible bond mandatory conversion price

Bank	Maturity date	Current price	Current conversion price	Mandatory conversion price	Upside to reach conversion price	Upside to reach mandatory conversion price
CIB	12/27/2027	17.01	20.13	26.17	18.3%	53.8%
CSRB	9/15/2028	5.96	5.25	6.83	-11.9%	14.5%

Source: Wind, as of July 3, 2026

BofA GLOBAL RESEARCH

Ping An's holding in H-share banks

Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ABC	1/3/2025	5.03%	0.44%
ABC	2/5/2025	6.08%	0.53%
ABC	2/13/2025	7.09%	0.62%
ABC	2/19/2025	8.06%	0.71%
ABC	2/27/2025	9.04%	0.79%
ABC	3/10/2025	10.04%	0.88%
ABC	3/20/2025	11.08%	0.97%
ABC	5/6/2025	12.05%	1.06%
ABC	5/14/2025	13.02%	1.14%
ABC	5/22/2025	14.11%	1.24%
ABC	6/5/2025	15.09%	1.33%
ABC	6/13/2025	16.00%	1.41%
ABC	8/18/2025	17.07%	1.50%
ABC	9/3/2025	18.00%	1.58%
ABC	9/25/2025	19.09%	1.68%
ABC	10/16/2025	20.01%	1.76%
ABC	10/28/2025	21.02%	1.85%
ABC	11/11/2025	22.05%	1.94%
ABC	12/9/2025	23.16%	2.03%
ABC	12/11/2025	24.01%	2.11%
ABC	12/22/2025	25.01%	2.20%
ABC	12/30/2025	26.11%	2.29%
ABC	4/22/2026	27.14%	2.38%
ABC	5/6/2026	28.03%	2.46%
ABC	5/20/2026	29.20%	2.56%
CCB	12/18/2024	5.01%	4.82%
CCB	5/6/2025	4.99%	4.80%
CMB	1/7/2025	5.00%	0.91%
CMB	2/6/2025	6.06%	1.10%
CMB	2/19/2025	7.03%	1.28%
CMB	2/27/2025	8.13%	1.48%
CMB	3/5/2025	9.01%	1.64%
CMB	3/12/2025	10.04%	1.83%
CMB	3/26/2025	11.53%	2.10%
CMB	5/6/2025	12.04%	2.19%
CMB	5/19/2025	13.17%	2.40%
CMB	5/30/2025	14.07%	2.56%
CMB	6/17/2025	15.12%	2.75%
CMB	7/28/2025	16.03%	2.92%
CMB	10/9/2025	17.05%	3.10%
CMB	10/21/2025	18.04%	3.28%
CMB	10/31/2025	19.01%	3.46%
CMB	11/17/2025	20.02%	3.64%
CMB	11/26/2025	21.13%	3.85%
CMB	12/9/2025	22.28%	4.06%
CMB	12/19/2025	23.09%	4.20%
CMB	12/30/2025	24.18%	4.40%
CMB	3/25/2026	25.03%	4.56%
ICBC	5/23/2024	14.00%	3.41%



Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ICBC	7/30/2024	15.00%	3.65%
ICBC	12/13/2024	16.02%	3.90%
ICBC	1/10/2025	17.11%	4.17%
ICBC	1/20/2025	18.03%	4.39%
ICBC	2/12/2025	19.02%	4.63%
PSBC	12/24/2024	5.00%	1.00%
PSBC	2/6/2025	6.05%	1.21%
PSBC	2/19/2025	7.02%	1.41%
PSBC	3/5/2025	8.08%	1.62%
PSBC	3/18/2025	9.05%	1.81%
PSBC	5/6/2025	10.05%	2.01%
PSBC	5/20/2025	11.02%	2.21%
PSBC	6/9/2025	12.00%	2.40%
PSBC	6/25/2025	13.02%	2.61%
PSBC	7/15/2025	14.05%	2.81%
PSBC	7/31/2025	15.06%	3.02%
PSBC	8/25/2025	16.01%	3.21%
PSBC	9/30/2025	17.03%	3.41%

Source: HKEX

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China CITIC Financial AMC's holding in H-share banks**Exhibit 31: China CITIC Financial AMC kept buying BOC-H shares until Sep 5, 2025**

China CITIC Financial AMC's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
BOC	6/30/2024	12.56%	3.57%
BOC	4/30/2025	13.11%	3.72%
BOC	5/15/2025	14.07%	4.00%
BOC	5/27/2025	15.17%	4.31%
BOC	6/5/2025	16.10%	4.57%
BOC	6/13/2025	17.32%	4.92%
BOC	6/27/2025	18.02%	5.12%
BOC	9/5/2025	19.00%	5.40%
CNCB	6/23/2025	7.55%	2.02%
CEB	11/25/2025	10.04%	2.15%

Source: HKEX

BofA GLOBAL RESEARCH

Ex dividend schedule**Exhibit 32: China banks ex dividend schedule**

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
ABC	0.13	2.84%	5/4/2026	6/16/2026	2.20%	5/13/2026	5/13/2026
BOC	0.12	2.81%	7/2/2026	8/19/2026	2.10%	7/10/2026	7/10/2026
BoComm	0.17	2.95%	7/2/2026	8/14/2026	2.59%	TBC	TBC
CCB	0.20	3.02%	7/2/2026	8/21/2026	2.14%	7/11/2026	7/11/2026
ICBC	0.17	3.04%	5/4/2026	6/16/2026	2.40%	5/13/2026	5/13/2026
PSBC	0.10	2.43%	7/3/2026	8/19/2026	1.93%	TBC	TBC
CEB	0.07	2.79%	7/2/2026	8/20/2026	2.35%	TBC	TBC
CMB	1.00	2.62%	7/2/2026	8/21/2026	2.72%	7/10/2026	7/10/2026
CNCB	0.19	3.33%	5/18/2026	7/6/2026	2.76%	6/10/2026	6/10/2026
MSB	0.05	1.91%	6/22/2026	8/10/2026	1.62%	7/2/2026	7/2/2026
CIB	0.50				2.95%	6/12/2026	6/12/2026
SPDB	0.42				4.83%	TBC	TBC
PAB	0.36				3.50%	6/12/2026	6/12/2026

Exhibit 32: China banks ex dividend schedule

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
BOCD	0.92				5.01%	TBC	TBC
BOHZ	0.28				1.87%	6/15/2026	6/15/2026
BOJS	0.23				2.09%	7/10/2026	7/10/2026
BONB	0.90				2.97%	TBC	TBC
BONJ	0.22				2.14%	6/15/2026	6/15/2026
BOSZ	0.15				2.10%	6/24/2026	6/24/2026
CQRB	0.12	2.29%	6/8/2026	7/27/2026	1.86%	6/16/2026	6/16/2026
CSRB	0.11				1.83%	6/9/2026	6/9/2026
SHRB	0.12				1.56%	6/29/2026	6/29/2026

Source: company reports, Bloomberg; as of July 3, *those who have distributed 1H25 dividend will only distribute 2H25 dividend this time. TBC = to be confirmed.

BofA GLOBAL RESEARCH

Bank abbreviations

ABC: Agricultural Bank of China

BOC: Bank of China

BoComm: Bank of Communications

CCB: China Construction Bank

ICBC: Industrial and Commercial Bank of China

PSBC: Postal Savings Bank of China

CEB: China Everbright Bank

CMB: China Merchants Bank

CNCB: China CITIC Bank

MSB: China Minsheng Bank

CIB: China Industrial Bank

SPDB: Shanghai Pudong Development Bank

PAB: Ping An Bank

BOCD: Bank of Chengdu

BOHZ: Bank of Hangzhou

BOJS: Bank of Jiangsu

BONB: Bank of Ningbo

BONJ: Bank of Nanjing

BOSZ: Bank of Suzhou

CQRB: Chongqing Rural Commercial Bank

CSRB: Changshu Rural Commercial Bank

SHRB: Shanghai Rural Commercial Bank

BEA: Bank of East Asia

BOCHK: Bank of China (Hong Kong) Limited

StanChart: Standard Chartered

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